$$= ₹\ 12{,}000 \times \frac{5}{100} \times \frac{6.5}{12} = ₹\ 325$$

(ii) If drawings are made in the middle of every month:

Average period = 6

Interest on drawings = Total amount of drawings × Rate of interest × $\frac{\text{Average period}}{12}$

$$= ₹\ 12{,}000 \times \frac{5}{100} \times \frac{6}{12} = ₹\ 300$$

(iii) If drawings are made at the end of every month:

Average period = 5.5

Interest on drawings = Total amount of drawings × Rate of interest × $\frac{\text{Average period}}{12}$

$$= ₹\ 12{,}000 \times \frac{5}{100} \times \frac{5.5}{12} = ₹\ 275$$

Illustration 17

Priya and Kavitha are partners. Priya draws ₹ 4,000 at the end of each quarter. Interest on drawings is chargeable at 6% p.a. Calculate interest on drawings for the year ending 31st December 2018 using average period.

Solution

Calculation of interest on drawings of Priya (using average period)

Total amount of drawings = 4,000 x 4 = ₹ 16,000

If drawings are made at the end of every quarter, average period = 4.5

Interest on drawings = Total amount of drawings × Rate of interest × $\frac{\text{Average period}}{12}$

$$= ₹\ 16{,}000 \times \frac{6}{100} \times \frac{4.5}{12} = ₹\ 360$$

Illustration 18

Vennila and Eswari are partners. Vennila draws ₹ 5,000 at the beginning of each half year. Interest on drawings is chargeable at 4% p.a. Calculate interest on drawings for the year ending 31st December 2018 using average period.

Solution

Calculation of interest on drawings of Vennila (using average period)

Total amount of drawings = 5,000 × 2 = ₹ 10,000

If drawings are made at the end of every half year, average period = 9

Interest on drawings = Total amount of drawings × Rate of interest × $\frac{\text{Average period}}{12}$

$$= ₹\ 10{,}000 \times \frac{4}{100} \times \frac{9}{12} = ₹\ 300$$

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